

Chapter 3

THE INFLATION-ADJUSTED DOW

The actual Dow Jones Industrial Average is a stocks/dollars ratio. The plot of the stock market in “constant dollars,” i.e., adjusted for inflation (as measured in these illustrations by the Producer Price Index of raw and partially processed material) is a stocks/goods ratio. The first ratio answers the question, “What quantity of *dollars* does it take to buy one share of each stock in the Dow Jones Industrial Average?” The second ratio answers the question, “What quantity of physical *goods* does it take to buy one share of each stock in the Dow Jones Industrial Average?”

One may wonder whether inflation should be considered an extramarket phenomenon that distorts the true market averages. Certainly the plot of dollar-denominated prices is *different* from the plot of inflation-adjusted prices. Yet inflation, both as cause and result, is an intimate part of the social psychology of some periods. Stock prices incorporate and reflect all aspects of the social mood, including that which both creates and tolerates, or even demands, inflation. This observation holds particularly true in societies whose finances are *credit*-based as opposed to *currency*-based. Inflation in a credit-based economy requires confidence, and confidence is the heart of a bull market in stocks. What’s more, in credit-based financial systems, inflation can turn to deflation depending upon the mental state of the populace, and that is precisely what the Wave Principle tracks.

The validity of this opinion is bolstered by the fact that the *actual* DJIA appears better to reflect Fibonacci mathematics (see Appendix A) than the inflation-adjusted measure. The actual Dow is what people watch, and the feedback loop of information is therefore more intimately associated with it. The actual Dow enjoys a symbiotic relationship with the society that allows the natural laws of self-organization to reflect themselves fully. Nevertheless, the inflation-adjusted Dow is just as real in that it reflects how people value an intangible such as stock certificates against tangible things, a measure that is also a part of the social psychology of the times. Indeed, an Elliott Wave analysis of the inflation-adjusted Dow has proved so valuable, as detailed below, that there is every reason to have confidence in the validity of its message.